



UMEME

**UMEME LIMITED
CONDENSED INTERIM FINANCIAL STATEMENTS
(UNAUDITED)**

**FOR THE SIX MONTHS ENDED
30 JUNE 2013**

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Umeme Limited
Statement of directors' responsibilities
For the six-month period ended 30 June 2013

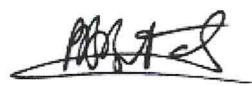
The Uganda Securities Act (Cap 110) of Uganda requires the directors to prepare interim financial statements for each six-month period in accordance with IAS 34 Interim Financial Reporting, which show the state of the financial affairs of the Company as at the end of the six-month period and of its operating results for that period.

The directors are ultimately responsible for the internal control of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates, are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the interim financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with IAS 34 Interim Financial Reporting. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim financial statements, as well as adequate systems of internal financial control.

The directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the Company's financial statements continue to be prepared on the going concern basis.

The interim financial statements were approved by the Board of Directors on 15th August 2013 and signed on its behalf by:


.....
Director


.....
Director

REPORT ON REVIEW OF CONDENSED INTERIM FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED

INTRODUCTION

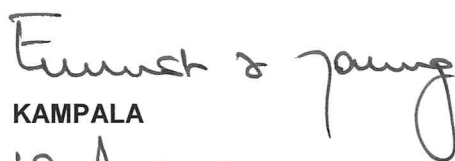
We have reviewed the accompanying condensed statement of financial position of Umeme Limited as of 30 June 2013, and the related condensed income statement, statement of comprehensive income, statement of changes in equity and statement of cash flows for the six-month period then ended, and other explanatory information as set out on pages 3 to 16. The directors are responsible for the preparation and presentation of this interim financial information in accordance with IAS 34 Interim Financial Reporting. Our responsibility is to express a conclusion on this interim financial information based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial information is not prepared, in all material respects, in accordance with IAS 34 Interim Financial Reporting.


KAMPALA
19 August 2013

Umeme Limited
Income Statement
For the six-month period ended 30 June 2013

	Note	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Revenue	3	467,040	397,030
Cost of sales	4	<u>(321,011)</u>	<u>(272,279)</u>
GROSS PROFIT		146,029	124,751
Other operating income	5(a)	6,301	6,335
Finance income	5(b)	<u>9,592</u>	<u>7,314</u>
		161,922	138,400
Repair and maintenance expenses		(6,677)	(9,785)
Administration expenses		(61,265)	(57,428)
OPERATING PROFIT BEFORE AMORTISATION		93,980	71,187
Amortisation of intangible assets		<u>(13,171)</u>	<u>(11,075)</u>
OPERATING PROFIT		80,809	60,112
Finance costs		<u>(12,799)</u>	<u>(16,133)</u>
PROFIT BEFORE TAX		68,010	43,979
Income tax expense		<u>(20,677)</u>	<u>(13,016)</u>
PROFIT FOR THE PERIOD		<u>47,333</u>	<u>30,963</u>
		Unaudited 30 June 2013 Ushs	Unaudited 30 June 2012 Ushs
BASIC EARNINGS PER SHARE	6	<u>29</u>	<u>23</u>
DILUTED EARNINGS PER SHARE	6	<u>29</u>	<u>19</u>

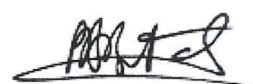
Umeme Limited
Statement of comprehensive income
For the six-month period ended 30 June 2013

	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Profit for the period	47,333	30,963
Other comprehensive income		
Other comprehensive income for the period, net of tax	-	-
Total comprehensive income for the period, net of tax	47,333	30,963

Umeme Limited
Statement of Financial Position
As at 30 June 2013

	Note	Unaudited 30 June 2013 Ushs million	Audited 31 December 2012 Ushs million
NON CURRENT ASSETS			
Intangible assets	7	314,180	279,683
Concession arrangement financial asset: Non-current portion	8	108,752	152,936
		<u>422,932</u>	<u>432,619</u>
CURRENT ASSETS			
Concession arrangement financial asset: Current portion	8	90,510	43,892
Inventories		29,542	36,460
Amount recoverable from customer capital contributions		1,826	723
Trade and other receivables		173,140	188,256
Current income tax recoverable		-	3,323
Bank balances		31,027	50,660
		<u>326,045</u>	<u>323,314</u>
TOTAL ASSETS		<u>748,977</u>	<u>755,933</u>
EQUITY AND LIABILITIES			
EQUITY			
Issued capital		27,748	27,748
Share premium		70,292	70,292
Retained earnings		164,382	141,407
		<u>262,422</u>	<u>239,447</u>
NON-CURRENT LIABILITIES			
IFC Loan: Non-current portion	9	42,240	47,093
Concession obligation: Non-current portion	10	108,752	152,936
Deferred income tax liability		21,347	12,100
Provisions	11	3,020	-
		<u>175,359</u>	<u>212,129</u>
CURRENT LIABILITIES			
IFC loan: Current portion	9	7,394	7,768
Concession obligation: Current portion	10	90,510	43,892
Customer security deposits		7,304	3,688
Deferred construction income		7,692	4,270
Trade and other payables		190,007	244,739
Current income tax payable		8,107	-
Bank overdraft	17(a)	182	-
		<u>311,196</u>	<u>304,357</u>
TOTAL EQUITY AND LIABILITIES		<u>748,977</u>	<u>755,933</u>

These financial statements were approved by the Board of Directors on 15th August 2013 and signed on its behalf by:



Director



Director

Umeme Limited
Statement of changes in equity
For the six-month period ended 30 June 2013

	Issued capital Ushs million	Share premium Ushs million	Retained earnings Ushs million	Total equity Ushs million
At 1 January 2012	22,870	-	84,297	107,167
Profit for the period	-	-	30,963	30,963
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	30,963	30,963
At 30 June 2012	22,870	-	115,260	138,130
At 1 January 2012	22,870	-	84,297	107,167
Profit for the year	-	-	57,110	57,110
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	57,110	57,110
Issue of shares: public	4,235	63,927	-	68,162
Issue of shares: directors and employees	419	6,322	-	6,741
Issue of shares: share grant scheme	224	3,379	-	3,603
Share issue costs	-	(3,336)	-	(3,336)
At 31 December 2012	27,748	70,292	141,407	239,447
At 1 January 2013	27,748	70,292	141,407	239,447
Profit for the period	-	-	47,333	47,333
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax	-	-	47,333	47,333
Dividends paid (Note 12)	-	-	(24,358)	(24,358)
At 30 June 2013	27,748	70,292	164,382	262,422

Umeme Limited
Statement of cash flows
For the six-month period ended 30 June 2013

	Note	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Net cash flows from operating activities	13	51,933	52,434
INVESTING ACTIVITIES			
Purchase of intangible assets		(47,668)	(46,047)
Proceeds from sale of motor vehicles		-	124
Net cash flows used in investing activities		(47,668)	(45,923)
FINANCING ACTIVITIES			
Dividends paid		(24,358)	-
Repayment of IFC loan		(3,338)	(2,930)
Net cash flows used in financing activities		(27,696)	(2,930)
Net (decrease)/increase in cash and cash equivalents		(23,431)	3,581
Cash and cash equivalents at 1 January		46,972	47,289
Cash and cash equivalents at period end	14	23,541	50,870

1. COMPANY INFORMATION AND GOING CONCERN

1.1 Company information

Umeme Limited (the Company) is a limited company incorporated in Uganda under the Companies Act (Cap 110) of Uganda, and licensed under Licence No. 047 to carry on business by Electricity Regulatory Authority under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the year.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross listed on Nairobi Stock Exchange (NSE).

The condensed interim financial statements of the Company for the six-months ended 30 June 2013 were authorized for issue in accordance with a resolution of the directors on 15th August 2013.

1.2 Going concern

The Company's directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the condensed interim financial statements have been prepared on the going concern basis.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The condensed interim financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The condensed interim financial statements do not include all the information and disclosures required in annual financial statements, and should be read in conjunction with the Company's annual financial statements as at 31 December 2012 and the notes to these condensed interim financial statements that include explanation of events and transactions that are significant to the understanding of the changes in financial position and performance of the Company since 31 December 2012. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2012 annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in estimates of amounts reported in prior periods.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares.

(b) Changes in accounting policies and methods of computation

The accounting policies and methods of computation adopted in the preparation of these condensed interim financial statements are consistent with those followed in the preparation of the Company's financial statements for the year ended 31 December 2012. Amendments to standards and new standards and interpretations effective as of 1 January 2013 did not have any impact on these interim financial statements.

(c) Segment information

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period

All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

3. REVENUE

	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Domestic	123,265	106,572
Commercial	15,767	13,458
Medium industrial	2,334	772
Street lighting	446	283
Commercial - time of use	46,210	39,218
Medium industrial -time of use	100,410	81,286
Large industrial - time of use	163,458	148,858
Total amount billed to customers	451,890	390,447
Revenue shortfall recoverable *	9,846	-
Construction revenue - construction of assets	5,304	6,583
	467,040	397,030

*The Company has rights to earn a return on investment through the retail tariff approved by Electricity Regulatory Authority in accordance with the Lease and Assignment Agreement. Electricity Regulatory Authority did not approve certain tariff changes that would enable the Company earn Ushs 9.846 billion during the period in respect to the return on investment. The Company is entitled to recover such revenue shortfalls through tariff adjustments, offsets from concession rentals payable or withdrawals from the Escrow Account. As of 30 June 2013, the Company had recovered Ushs 3.868 billion of the revenue shortfall by withdrawing the amount from the Escrow Account. The balance of Ushs 5.978 billion is to be recovered through the retail tariff by 31 December 2013 and this has been recognised as revenue recoverable under trade and other debtors.

4. COST OF SALES

	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Electricity purchase from UETCL	314,349	264,525
Generation levy	1,358	1,171
Construction costs-construction of assets	5,304	6,583
	321,011	272,279

5. OTHER OPERATING INCOME

a) Other operating income

Reconnection fees	887	504
Meter/transformer test fees	4	3
Inspection fees	1,381	1,237
Sale of tender documents	-	1
Sale of scrap and other disposals	53	167
Fines and sundry income	1,103	3,495
Foreign exchange gains	2,873	928
	6,301	6,335

b) Finance income

Interest on bank deposits	364	1,069
Financing income from concession financial asset	9,228	6,245
	9,592	7,314

Total other operating and finance income	15,893	13,649
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6. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period.

	Unaudited 30 June 2013	Unaudited 30 June 2012
Profit attributable to shareholders (Ushs million)	47,333	30,963
Opening basic weighted average number of ordinary shares (million)	1,338	1,338
Weighted average number of ordinary shares issued (million)*	285	-
Basic weighted average number of ordinary shares (million)	1,623	1,338
Diluting ordinary shares (million)	-	285
Diluted weighted average number of ordinary shares (million)	1,623	1,623
Basic earnings per share (Ushs)	29	23
Diluted earnings per share (Ushs)	29	19

*285 ordinary shares were issued in December 2012.

7. INTANGIBLE ASSETS

	GOU support & assurances rights Ushs million	Other concession rights Ushs million	Total Ushs million
COST			
At 1 January 2012	2,457	272,283	274,740
Additions	-	98,797	98,797
Transfer to amount recoverable from customer capital contributions	-	(723)	(723)
Disposals and write offs	-	(2,233)	(2,233)
At 31 December 2012	2,457	368,124	370,581
Additions	-	49,069	49,069
Transfer to amount recoverable from customer capital contributions	-	(1,401)	(1,401)
At 30 June 2013	2,457	415,792	418,249
AMORTISATION			
At 1 January 2012	(819)	(69,051)	(69,870)
Charge for the year	(123)	(22,125)	(22,248)
Disposals and write offs	-	1,220	1,220
At 31 December 2012	(942)	(89,956)	(90,898)
Charge for the period	(61)	(13,110)	(13,171)
At 30 June 2013	(1,003)	(103,066)	(104,069)
Net carrying amount			
At 31 December 2012 (Audited)	1,515	278,168	279,683
At 30 June 2013 (Unaudited)	1,454	312,726	314,180

8. CONCESSION ARRANGEMENT FINANCIAL ASSET

	Unaudited 30 June 2013 Ushs million	Audited 31 December 2012 Ushs million
At 1 January	196,829	170,535
Finance income for the period	9,228	13,118
Foreign exchange (losses)/gains	(6,795)	13,175
At period end	199,262	196,828
Maturity analysis:		
Outstanding financial asset	199,262	196,828
Less: Amount recoverable within one year	(90,510)	(43,892)
Non-current portion of financial asset	108,752	152,936
The financial asset is recoverable as analysed below:		
Within one year	90,510	43,892
Between one and two years	18,461	33,432
Between two and three years	7,372	33,649
Between three and four years	7,962	8,250
Between four and five years	8,599	8,910
After five years	66,358	68,695
	199,262	196,828

The terms of the Lease and Assignment Agreement (LAA), indicate that the Company has an unconditional right to receive cash from the users of the distribution network for concession rental payments to Uganda Electricity Distribution Company Limited (UEDCL) through the tariff.

As indicated in note 10, no concession rental payments were made to UEDCL regarding the concession obligation during the year ended 31 December 2012 and the six-month period ended 30 June 2013 and no recoveries of the same were made during this period since Electricity Regulatory Authority excluded the concession rental payments from the tariff for the period. The amount recoverable within one year is derived from the concession obligation amount due within one year.

UEDCL bears the risk that the cash flows generated by the users of the distribution network using the tariff approved by Electricity Regulatory Authority will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the rentals paid are effectively secured, which results in a financial asset as the consideration received. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor.

9. INTERNATIONAL FINANCE CORPORATION (IFC) LOAN

	Unaudited 30 June 2013	Audited 31 December 2012
IFC loan	49,634	54,861
Movement on the account		
At 1 January	54,860	57,248
Foreign exchange (gain)/loss on translation	(1,754)	3,597
Interest charge for the period	1,399	3,062
Less: Principal repayment during the period	(3,338)	(6,004)
Less: Interest payment during the period	(1,533)	(3,042)
At period end	49,634	54,861
Less: Current portion - amount due within one year	(7,394)	(7,768)
Non - current portion	42,240	47,093

In 2009, the Company signed a borrowing agreement with IFC worth US\$ 25 million. The loan attracts interest of 6 months LIBOR + 5%. The loan of US\$ 25 million was fully drawn down in 2011. The loan is repayable in twenty semi-annual instalments of US\$ 1.25 million commencing on 28 February 2011. The loan is secured by registered debenture and a share pledge agreement.

10. CONCESSION OBLIGATION

	Unaudited 30 June 2013 Ushs million	Audited 31 December 2012 Ushs million
At 1 January	196,829	170,535
Finance expense for the period	9,228	13,118
Foreign exchange (gains)/losses	(6,795)	13,175
At period end	199,262	196,828
Maturity analysis:		
Outstanding obligation	199,262	196,828
Less: Amount due within one year	(90,510)	(43,892)
Non-current portion of the obligation	108,752	152,936
The concession obligation is due as analysed below:		
Within one year	90,510	43,892
Between one and two years	18,461	33,432
Between two and three years	7,372	33,649
Between three and four years	7,962	8,250
Between four and five years	8,599	8,910
After five years	66,358	68,695
	199,262	196,828

10. CONCESSION OBLIGATION (CONTINUED)

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20 year concession arrangement. The present value of the obligation arising from the lease rental payments under the concession agreements at the commencement of the concession was estimated to be Ushs 219 billion (US\$ 119 million) using a discounting rate of 8.911%. The present value of the concession obligation is adjusted in case of changes in the estimated repayments schedule.

The obligation payable during a given period is included in the tariff methodology in accordance with the concession agreements. Electricity Regulatory Authority (ERA) did not include the concession obligation payable for the year ended 31 December 2012 and the six-month period to 30 June 2013 in the tariff and UEDCL did not bill the Company for payment of the concession obligation during this period. As such, no payments were made to UEDCL regarding the concession obligation during this period. The concession agreement forming the basis of the concession obligation remains unmodified and it is expected that the concession obligation payable to UEDCL will be reintroduced into the tariff methodology in future. The repayment terms for the unpaid instalments due in 2012 and 2013 have not been specified. As such, the amounts have been presented as current liabilities together with the instalments due within one year from the reporting date.

11. PROVISIONS

This is made up of the provision for the deferred bonus scheme as follows:

	Unaudited 30 June 2013 Ushs million	Audited 31 December 2012 Ushs million
At 1 January	-	-
Provision for the period	3,020	-
At period end	3,020	-

The Company granted to participating employees a right to be eligible to receive a cash award on the vesting date of the deferred bonus scheme. To qualify to receive an award, an individual participating employee must be the registered owner throughout the vesting period of a specified number of qualifying shares. After the vesting date, the employee will receive the appropriate cash award (after deduction of any PAYE tax which may be payable), provided that the employee has fulfilled the service, qualifying shareholding and performance conditions that will have been specified and which will have been designed to promote employee retention and continued performance.

The cash award that an employee may receive will also be dependent on the Company achieving minimum financial performance targets in terms of EBITDA over the three years ending 31 December 2013, 31 December 2014 and 31 December 2015 compared to the performance for the year ended 31 December 2012. The above provision represents the estimated cost of the deferred bonus scheme for the six-month period reported.

12. DIVIDENDS

	30 June 2013		31 December 2012	
	Per share Ushs	Total Ushs million	Per share Ushs	Total Ushs million
Proposed dividend at 1 Jan	15	24,358	-	-
Proposed during the period	-	-	15	24,358
Paid during the period	(15)	(24,358)	-	-
	-	-	15	24,358

At the Annual General Meeting held during the period, the shareholders approved a final dividend of US\$ 15 per ordinary share to be paid for the year ended 31 December 2012 (2011: Nil). The dividends were paid to the shareholders during the period.

13. CASH FLOWS FROM OPERATING ACTIVITIES

	Unaudited 30 June 2013 Ushs million	Unaudited 30 June 2012 Ushs million
Operating activities		
Profit before tax	68,010	43,979
Adjustment for:		
Interest from bank deposits	(364)	(1,069)
Finance income on concession arrangement financial asset	(9,228)	(6,857)
Amortisation of intangible assets	13,171	11,075
Impairment provision for bad and doubtful debts	3,715	8,327
Interest on shareholder's loans	-	3,923
Interest on IFC loan	1,399	1,455
Interest on customer security deposits	506	694
Loss/(profit) on sale of assets	-	(123)
Finance cost on concession obligation	9,228	6,857
Unrealised foreign exchange (gains)/losses	(1,754)	(948)
	<u>84,683</u>	<u>67,313</u>
Decrease/(increase) in inventories	6,918	(11,146)
Increase in amounts due from customer capital contributions	(1,103)	-
Decrease/(increase) in trade and other receivables	11,401	(36,948)
Increase/(decrease) in deferred construction income	3,422	(150)
Increase in customer security deposits	3,616	114
Increase in bank balances not available for use	(3,616)	(109)
Increase in provisions	3,020	-
(Decrease)/increase in trade and other payables	(55,239)	54,491
Cash generated from operating activities	<u>53,102</u>	<u>73,565</u>
Interest received from banks	364	1,069
Current income tax paid	-	(12,000)
Interest paid on shareholder's loan	-	(8,739)
Interest paid on IFC loan	(1,533)	(1,461)
Net cash flows from operating activities	<u>51,933</u>	<u>52,434</u>

14. CASH AND CASH EQUIVALENTS

Bank balances	31,027	53,422
Bank balances not available for use	(7,304)	(2,552)
Bank overdraft	(182)	-
	<u>23,541</u>	<u>50,870</u>

ERA issued guidelines that require the Company to ring fence and invest the cash held in respect to customer security deposits from any other funds of the Company. The guidelines were effective from 1 January 2011. Bank balances representing the carrying amount of the customer security are not available for use in the Company's operations.

15. LETTERS OF CREDIT

As at 30 June 2013, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited. The letters of credit facilitate the purchase and importation of network equipment and related electricity distribution accessories. A total of Ushs 1.212 billion had been deposited under the letters of credit facilities as at 30 June 2013 (31 December 2012: Ushs 1.064 billion). The amounts deposited with the bank act as collateral for the active letters of credit to facilitate the purchase and importation of partially delivered goods.

As at 30 June 2013, the company also had letters of credit with Standard Chartered Bank Uganda Limited amounting to Ushs 22.4 billion with no cash cover. These are covered by the goods under importation and insurance.

16. RELATED PARTIES

The Company's related parties include Umeme Holdings Limited and Actis Infrastructure 2 LP (an English limited partnership managed by Actis LLP). Umeme Holdings Limited owns and controls 60.08% of the Company's issued shares. The Company is ultimately controlled by Actis Infrastructure 2 LP which owns Umeme Holdings Limited (through its ownership of Actis Infrastructure Umeme Limited). The Company is also related to Globeleq Expatriate Services Limited, which is also controlled by Actis Infrastructure 2 LP (through its ownership of Globeleq Generation Limited). The Company is also related to Globeleq Africa Holdings Limited through common shareholding.

The following transactions were carried out with related parties:

	30 June 2013 Ushs million	31 December 2012 Ushs million
i) Management and secondment services		
Globeleq Expatriate Services Ltd - Management fees	<u>1,136</u>	<u>2,328</u>
ii) Other transactions		
GQ Africa Holdings-recharges	23	86
GQ-Transactional service fees	<u>176</u>	<u>130</u>
	<u>199</u>	<u>216</u>
iii) Compensation of key management personnel		
Short-term employee benefits	<u>3,437</u>	<u>3,751</u>

The above benefits include directors' emoluments and expenses and expatriate expenses.

The following were the related party balances at the end of the year:

	30 June 2013 Ushs million	31 December 2012 Ushs million
i) Amounts due to related parties		
Globeleq Expatriate Services Ltd	239	646
Globeleq Africa Holdings Ltd	6	22
Actis - recharges	-	987
Umeme Holdings Limited	<u>-</u>	<u>1,528</u>
	<u>245</u>	<u>3,183</u>
ii) Amounts due from related parties		
Actis - recharges	<u>39</u>	<u>-</u>

All balances due from/to related parties are unsecured. No impairment loss has been recognised on balances due from related parties.

17. COMMITMENTS

(a) Financing facilities

The Company has an overdraft facility with Standard Chartered Bank Uganda Limited of up to US\$ 19.5 million for a period of up to 20 June 2014 at an interest rate of the bank's base lending rate minus 2.5. The Company had utilised Ushs 182 million as at 30 June 2013 (31 December 2012: Nil).

(b) Capital commitments

The following capital expenditure had been committed by the Company and also approved by the Electricity Regulatory Authority (ERA):

	30 June 2013		31 December 2012	
	Ushs million	US\$ million	Ushs million	US\$ million
Authorised and contracted for	31,427	12.10	14,306	5.32
Authorised and not contracted for	<u>43,405</u>	<u>16.71</u>	<u>-</u>	<u>-</u>
	<u>74,832</u>	<u>28.81</u>	<u>14,306</u>	<u>5.32</u>

18. SHAREHOLDING

a) Shareholder composition

	30 June 2013	
	Number of shares	Percentage shareholding
Umeme Holdings Limited (Including shares by nominees)	975,553,505	60.08%
National Social Security Fund	131,722,771	8.11%
International Finance Corporation	45,220,900	2.78%
Dazbog Holdings EFC Limited	43,195,000	2.66%
Utilico Emerging Markets Limited	33,531,788	2.07%
SCB Mauritius Re Allan Gray Africa Equity (Rand) Fund	31,700,000	1.95%
Dazbog Holdings BFC Limited	29,680,000	1.83%
Dazbog Holdings AFC Limited	25,970,000	1.60%
SCB Mauritius Re Allan Gray Africa Ex-SA Equity Fund Limited	16,469,661	1.01%
Central Bank of Kenya Pension Fund	13,075,000	0.81%
Others	<u>277,759,380</u>	<u>17.10%</u>
	<u>1,623,878,005</u>	<u>100.00%</u>

b) Spread of issued shares as at 30 June 2013

Shareholding (number of shares)	Number of Shareholders	Number of shares held	Percentage shareholding
Less than 500 shares	36	7,171	0.000442%
500 - 5,000 shares	2,650	5,185,634	0.319336%
5,001 - 10,000 shares	1,389	12,570,112	0.774080%
10,001 - 100,000 shares	1,099	27,246,131	1.677843%
100,001 - 1,000,000 shares	191	57,677,037	3.551808%
Above 1,000,000 shares	<u>75</u>	<u>1,521,191,920</u>	<u>93.676490%</u>
	<u>5,440</u>	<u>1,623,878,005</u>	<u>100.000000%</u>